SOP STATUTORY REGULATORY COMPLIANCE MANAGEMENT

[CONFIDENTIAL]
[UTTHUNGA]
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CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

SL. No.	Document Version No.	Change Description	Reason For change	Date Prepared By	Date Reviewed By	Date Approved By
1	0.1	Draft	Initial version	22-1-2025 Sanmangala M. S	28-1-2025 Basavaraja	
2	1.0	Approved	Review and approval			28-1-2025 Basavaraja
3	1.1	Updated Statutory requirements of Admin, HR and IT functions	Process improvement	27-3-2015 Santosh V	28-3-2015 Sanmangala M S	28-3-2015 Sanmangala M S
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1 Purpose

This SOP aims to document standard operating procedures for statutory compliance related to Finance, Human Resources, Administration and Security at Utthunga. It facilitates monitoring of processes through job aids and templates wherever applicable.

2 Scope

This document outlines procedures for ensuring compliance with statutory regulations, including as mentioned in Annexure. It applies to all relevant functions within Utthunga. It also ensures that the compliance requirements are met, monitored, and updated regularly in alignment with statutory guidelines.

3 Abbreviations

a. ESI: Employee State Insurance

b. PF: Provident Fund

c. PT: Professional Tax

d. LWF: Labor Welfare Fund

e. IT: Income Tax

f. GST: Goods and Services Tax

g. RUOC: Registration Under Other Compliances

h. TDS: Tax Deducted at Source.

i. STPI: Software Technology Parks of India

j. ROC: Registrar of Companies

k. ESI: Employees State Insurance

l. PF: Provident Fund

m. POSH: Prevention of Sexual Harassment

n. S & CE: Shops and Commercial Establishment

4 Terms and Definitions

a. **Statutory Compliance**: Adherence to legal regulations governing the business.

b. **Challan**: A document evidencing tax payment.

c. **MIS**: Management Information System for reporting.

d. **Form 24Q:** TDS returns for salaries.

e. **Form 26Q:** TDS return for all payments other than salaries.

f. **Form 27Q**: TDS return for payments made to non-residents.

5 Responsibilities

a. **Sr. Executive Accounts**: Prepares statutory compliance checklists and ensures timely tax payments.

b. **HR Team**: Shares employee-related statutory information and manages periodic return filings.

c. **Finance Manager**: Reviews calculations, ensures compliance, and compiles MIS reports.

d. **Finance Director**: Reviews compliance checklists and MIS reports.

e. **Finance Director**: Approves compliance reports and addresses non-compliance issues.

f. **HR executive**: Ensures periodic filing and reporting related HR

g. **Admin Manager**: Ensures periodic filing and reporting related Administration

6 RACI

Process	Responsible	Accountable	Consulted	Informed
Preparation of Compliance Checklist	Sr. Executive Accounts Payable	Finance Director	HR Team	Finance Director, Management
TDS Payment	Sr. Executive Accounts Payable	Finance Director	Tax Consultant	Finance Director
Filing of Returns	Sr. Executive Accounts Payable	Finance Director	Authorized Signatories	Finance Director
Payroll Data Provision	HR Team	Sr. Executive Accounts	HR Head	Finance Manager
Calculation of PF and ESI	Sr. Executive Accounts	Sr. Executive Accounts	HR Team	Finance Manager
Validation of Calculations	Sr. Executive Accounts	Sr. Executive Accounts	HR Team	Finance Manager
Payment Processing	Sr. Executive Accounts	Sr. Executive Accounts	Finance Manager	Management
Archiving of Records	Sr. Executive Accounts	Finance Manager		Management

Monthly Review & Reporting	Finance Manager	Finance Manager	Sr. Executive Accounts	Management
Transaction Data Collection and Validation	Sr. Finance Executive	Sr. Finance Executive	Finance Manager	Finance Director
GST Liability Computation & Validation of Tax Codes	Sr. Finance Executive	Sr. Finance Executive	Finance Manager	Finance Director
GST Payment Processing	Sr. Finance Executive	Sr. Finance Executive	Finance Manager	Finance Director
GST Return Filing & Archiving of Evidence	Sr. Finance Executive	Finance Manager	Finance Director	Management Team
Monthly Review and Reporting	Finance Manager	Finance Manager	Finance Director	Management Team
MIS Reporting	Finance Manager	Finance Director	Sr. Finance Executive	Management Team

Process	Responsible	Accountable	Consulted	Informed
HR regulatory reporting	Sr. Executive – HR	HR head	Finance Team, Legal	Management Team

Process	Responsible	Accountable	Consulted	Informed
Registration for S & CE, STPI, Customs and GST	Admin Manager	Admin head	Legal	Management team

7 SIPOC

Supplier	Input	Process and Control		Output	Customer
		Process	Control		
HR, Finance Teams	Payroll data, tax rates	Computation of Taxes	Validation of Taxes	Statutory compliance	Government Bodies
Vendors	Invoices, TDS sections	Payment of TDS	Validation of TDS paid	TDS Challans	Government Bodies
Finance Team	Tax computation statements.	Filing returns	Validation of Tax computation statement	Tax filings	Government bodies

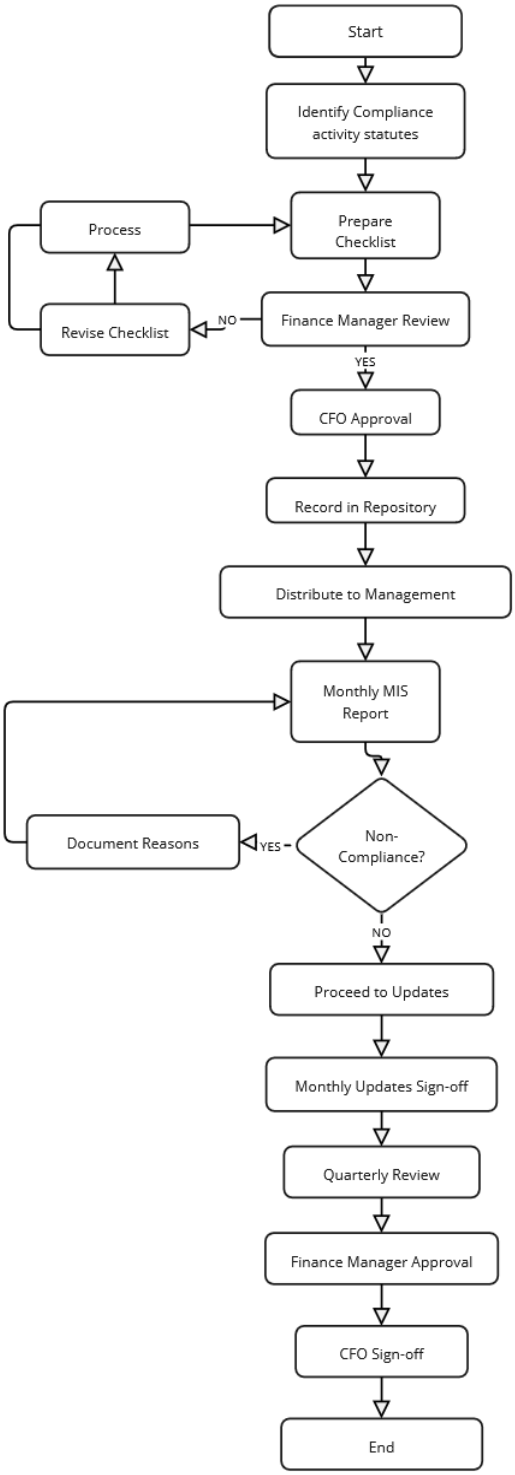
Supplier	Input	Process and Control		Output	Customer
		Process	Control		
Regulatory Bodies, HR	Compliance HR policies	HR regulatory Compliance & reporting	Monitor and report compliance adherence across projects	HR Compliance Reports, Audit Reports, Payroll and Benefits Compliance Reports, Regulatory Filings	Management Team, Government Agencies

Supplier	Input	Process and Control		Output	Customer
		Process	Control		
Government Regulatory	Compliance HR policies	Registration for S & CE,	Report compliance	Registration Certificates	Management Team,

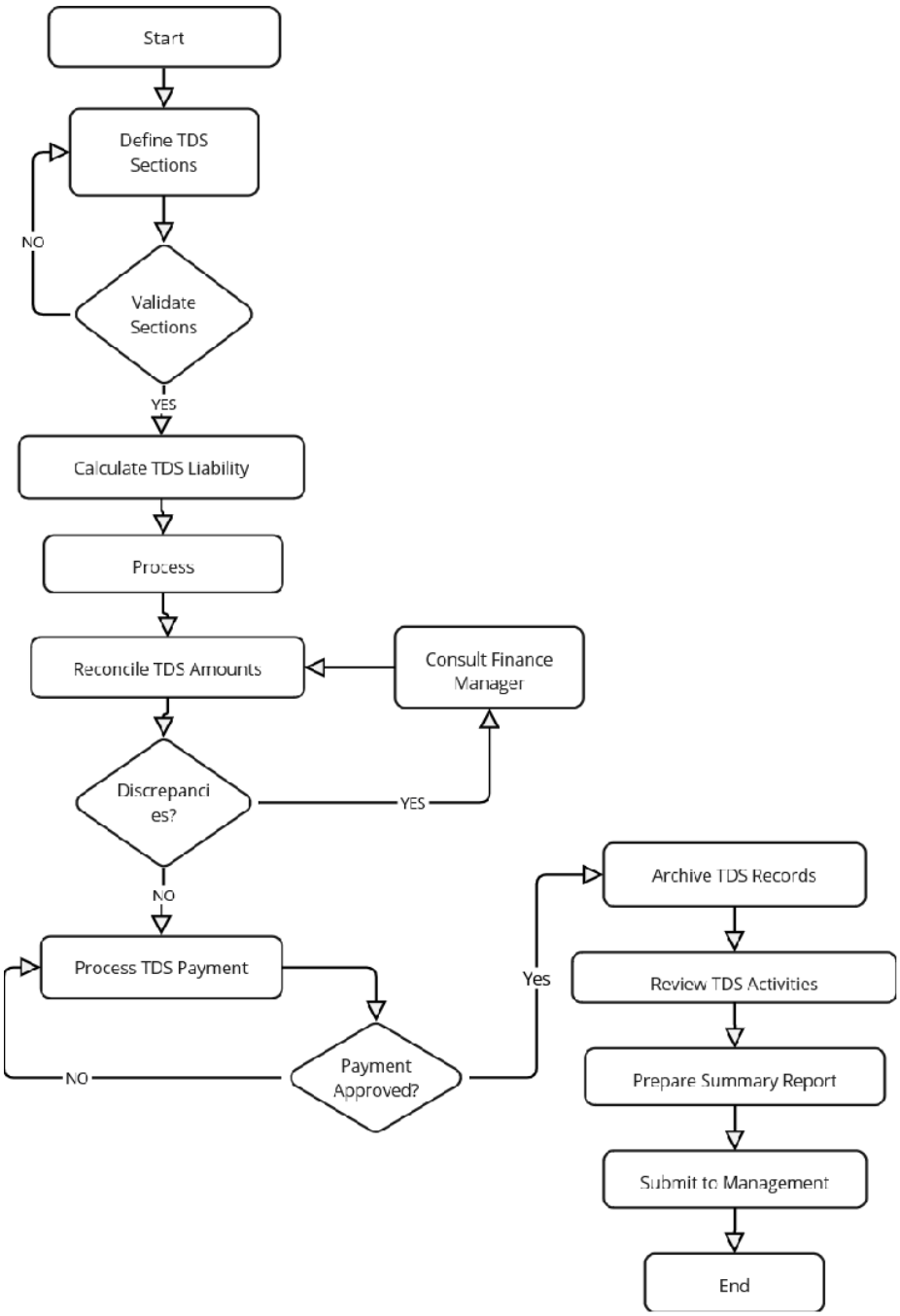
Bodies, Legal team		STPI, Customs and GST		(S & CE, STPI, Customs, GST), Compliance Reports	Finance Department, Legal Team, Government Authorities

8 Overall Process Flow Chart

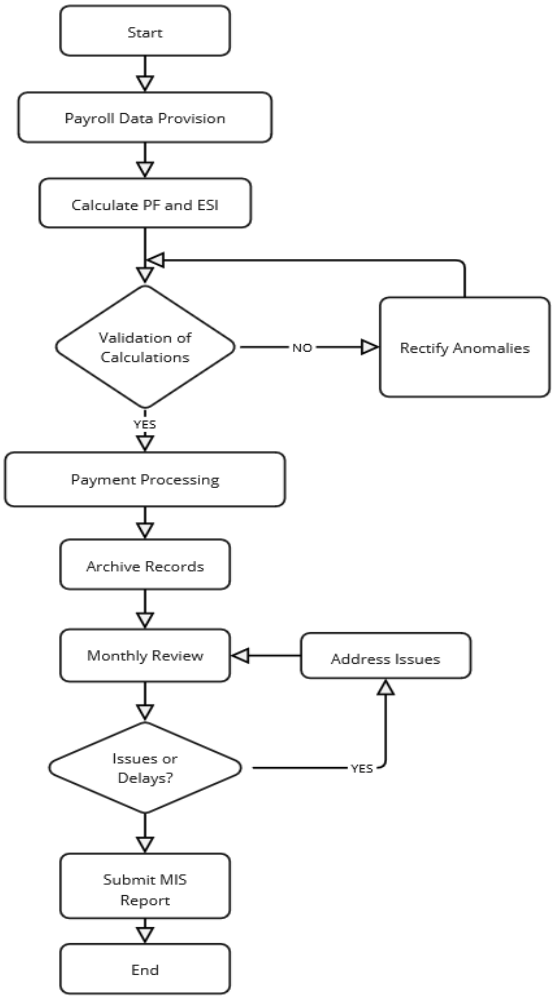
Monitoring and Reporting Statutory compliances



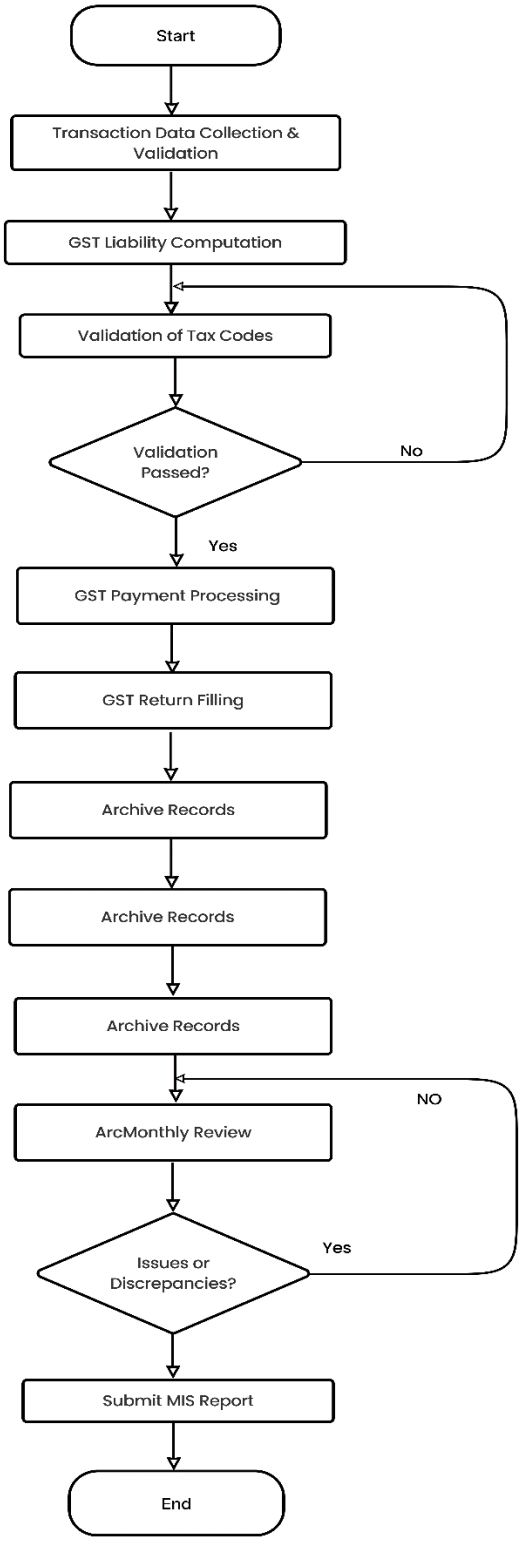
TDS Management process

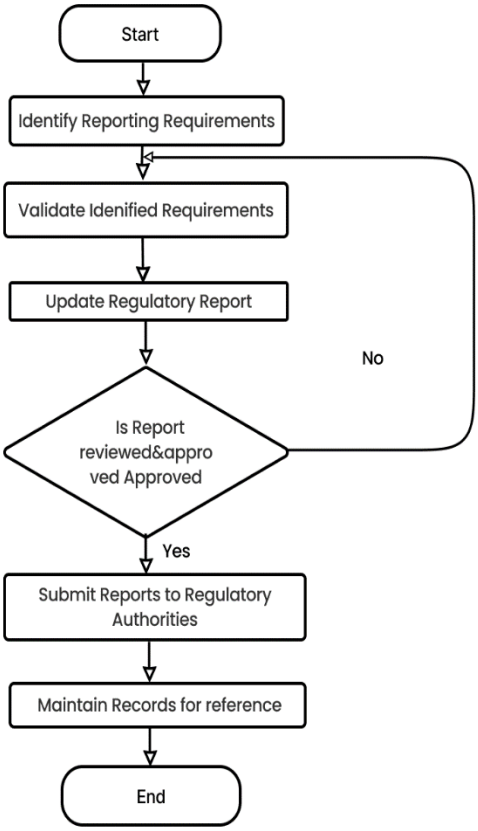
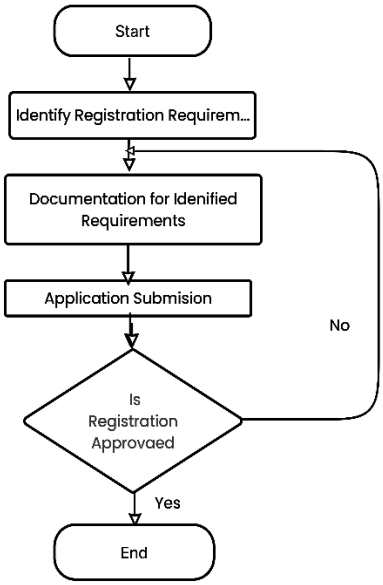


Employee Statutory Payments



GST Payment Process



Monitoring and reporting Statutory compliances – HR	Monitoring and reporting Statutory compliances – Admin
	

9 Process Description

9.1 Monitoring and reporting Statutory compliances Finance

The monitoring and reporting of statutory compliance include the preparation of a statutory compliance checklist for tracking due dates of compliance activities related to taxes and employee-related payments.

Sr. Executive Accounts identifies applicable statutes and prepares the checklist by the 2nd working day of the month. The Finance Manager reviews and approves the checklist and sends it for final approval to the Finance Director. The Finance Director reviews, provides final approval, ensures it is recorded in the repository, and distributes it to the management.

Reasons for non-compliance are documented and reported in a monthly MIS to the management team by the Finance Manager on or before the 7th day of each month.

Monthly updates are signed off by personnel who complete compliance activities. The checklist is reviewed and approved by the Finance Manager and signed off by the Finance Director on a quarterly basis.

9.2 TDS Management

TDS management involves several key activities to ensure timely and accurate compliance with tax deduction requirements:

a. **Definition of TDS Sections**: The Sr. Executive Accounts defines the applicable TDS sections in the accounting system at the start of the financial year or whenever there are changes in tax regulations. The sections are validated by the Finance Manager.
b. **Calculation of TDS Liability**: The Sr. Executive Accounts calculates TDS liability for all applicable transactions, referencing invoices and supporting documents. Calculations are performed monthly, by the 3rd working day of the following month.
c. **Reconciliation**: Monthly reconciliation of TDS amounts is conducted by the Sr. Executive Accounts by comparing liability calculations with actual deductions and payments. Any discrepancies are addressed in consultation with the Finance Manager.
d. **Payment Processing**: TDS payments are processed online by the Sr. Executive Accounts by the 7th day of the following month to meet statutory deadlines. Payments are reviewed and approved by the Finance Manager.
e. **Revisions:** Corrections to errors in PAN, TDS amount, or challan details can be made by filing a revised return.
f. **Archiving**: TDS challans and payment receipts are archived digitally and in hard copy for recordkeeping. Access to these records is restricted to authorized personnel.
g. **Review and Reporting**: The Finance Manager reviews TDS activities monthly to ensure compliance. A summary report, including any delays or discrepancies, is prepared and included in the MIS submitted to the management team on the 10th working day of the month.
h. **Monthly Reconciliation**: Reconcile the deducted TDS amounts with actual payments before filing quarterly returns.
i. **Archiving**: Maintain digital and physical copies of TDS challans and supporting documents for audit purposes.
j. **Quarterly Filing**: File TDS returns (Form 24Q, 26Q, 27Q, as applicable) within the deadlines:
    - **Q1**: By July 31
    - **Q2**: By October 31

- **Q3**: By January 31
- **Q4**: By May 31

k. **Consequences of Non-Compliance**:

- Late Filing Fee: ₹200 per day under Section 234E until the return is filed, subject to a maximum of the TDS/TCS amount.
- Interest on Delayed Payment:
  - 1% per month for late deduction.
  - 1.5% per month for late deposit after deduction.
- Penalties: A penalty under Section 271H can range from ₹10,000 to ₹1,00,000 for failure to file TDS/TCS returns.

9.3 Employee Statutory Payments

The employee statutory payments process focuses on compliance with Provident Fund (PF) and Employee State Insurance (ESI) regulations. The following steps outline the detailed procedure:

a. **Payroll Data Provision**: The HR Team provides accurate payroll data, including employee earnings and deductions, to the Sr. Executive Accounts by the 1st working day of each month. This data forms the basis for calculating PF and ESI contributions.

b. **Calculation of PF and ESI Contributions**: The Sr. Executive Accounts calculates PF and ESI liabilities based on the payroll data and applicable statutory percentages. Calculations are completed by the 3rd working day of the month to ensure timely compliance.

c. **Validation of Calculations**: The computed amounts are validated against employee records and statutory guidelines to ensure accuracy. Any anomalies are rectified in consultation with the HR Team.

d. **Payment Processing**: PF and ESI contributions are remitted online to the respective authorities by the 15th of each month. Payment challans are generated as proof of compliance.

e. **Archiving of Records**: All payment challans and supporting documents are archived digitally and physically for audit and compliance purposes. Access is restricted to authorized personnel to maintain confidentiality.

f. **Monthly Review**: The Finance Manager reviews all PF and ESI payments and archived records monthly. Any issues or delays are identified and addressed promptly.

g. **Reporting**: A summary of PF and ESI payment activities, including any non-compliance or corrective actions, is included in the monthly MIS report. The Finance Manager submits this report to the management team by the 10th working day of the following month.

9.4 GST Payment

The process includes computing GST liability, validating tax codes, and filing returns while maintaining transparency and accuracy throughout.

a. **Transaction Data Collection and Validation**

The Sr. Finance Executive collects transaction data from the accounting system by the 3rd working day of each month. This data includes sales, purchases, and input tax credits (ITC).

The Sr. Finance Executive ensures all tax invoices are accurately recorded, and tax codes applied to each transaction are verified for compliance with GST laws.

b. **GST Liability Computation**

The Sr. Finance Executive calculates GST liability by determining:

- Output tax on sales transactions.
- Input tax credits available from purchase transactions.

This computation is cross-checked against statutory rules and validated by the Finance Manager for accuracy.

c. **Validation of Tax Codes**

The Sr. Finance Executive validates tax codes applied in the system against the most recent GST regulations. Any inconsistencies or errors in tax codes are rectified in consultation with the Finance Manager.

d. **GST Payment Processing**

GST liability is paid online by the Sr. Finance Executive using the government GST portal by the 20th of each month (or as per the due dates applicable to the organization).

Payment challans are generated and saved as proof of compliance.

e. **GST Return Filing**

The Sr. Finance Executive prepares GST returns using transaction data and ensures alignment with the GST liability computation. Returns are filed electronically by the statutory deadlines:

GSTR-1 (Outward Supplies): By the 11th of the subsequent month.

GSTR-3B (Summary of Sales, Purchases, and Tax Paid): By the 20th of the subsequent month.

The Finance Manager reviews and approves the returns before submission.

f. **Archiving of Evidence**

All payment challans, filed returns, and supporting documentation are archived by the Sr. Finance Executive. Digital records are stored securely, with access restricted to authorized personnel.

g. **Monthly Review and Reporting**

The Finance Manager reviews all GST-related activities on a monthly basis. This includes validating archived evidence, addressing any discrepancies, and preparing a summary report.

The Finance Director reviews the compliance report and provides final approval.

h. **MIS Reporting**

A monthly MIS report is prepared by the Finance Manager, highlighting:

- GST liabilities paid.
- Returns filed.
- Non-compliance issues and corrective actions taken.

The report is submitted to the Finance Director and management team by the 10th working day of the following month.

9.5 Monitoring and reporting Statutory compliances – HR

a. **Identify Reporting Requirements**

HR team reviews regulatory compliance guidelines and reporting obligations in consultation with legal Advisor. Identifies required reports (e.g., employee demographics, payroll compliance, benefits reports).

b. **Gather and Validate HR Data**

Collects relevant employee records, payroll data, and compliance information.

Cross-checks data accuracy with HR policies and legal requirements.

c. **Prepare HR Regulatory Reports**

Uses the collected data to generate necessary reports in the required format.

Ensures completeness and compliance with government regulations.

d. **Review and Approve Reports**

The HR Team validates and reviews the reports for accuracy.

Sr. Executive – HR ensures all data is correctly represented.

HR Head (Accountable) provides final approval before submission.

e. **Submit Reports to Regulatory Authorities**

Submit reports to relevant government agencies (labor department, tax authorities, etc.).

Address any queries or follow-ups from regulatory bodies.

f. **Communicate and Maintain Records**

Informs the Management Team about report submission and key compliance findings.

Maintains documented records of all reports for audits and future reference.

9.6 Monitoring and reporting Statutory compliances – Admin

a. **Identify Registration Requirements:**

Legal provides inputs on the need for registrations under S & CE, STPI, Customs, and GST

b. **Gather Necessary Documentation:**

Admin team collects Collect business registration certificates, tax identification numbers, and company compliance documents, obtains approval from Legal

c. **Prepare and Submit Applications:**

Admin team submits applications to respective regulatory authorities

d. **Obtain Registration Approvals**

Receive registration certificates and approval documents and validate for correctness.

10 Information Security requirements

a. Ensure confidentiality of employee and vendor data.
b. Restrict access to compliance documentation to authorized personnel.
c. Store archived records securely in compliance with ISO 27001.

11 References

a. Income Tax Act, 1961

b. GST Act and Rules

12 Metrics

a. Statutory compliance adherence percentage.

b. Frequency of delays in compliance activities.

Annexures

12.1 List of Statutory and Regulatory compliance parameters

Regulatory & Statutory compliance requirements	Frequency of reporting
Finance	
Tax Deducted at Source -- TDS on Others	Monthly
Tax Deducted at Source -- TDS on Salary	Monthly
Tax Deducted at Source -- TDS On Outward Payment	Monthly
Tax Deducted at Source -- TDS On Outward Payment	Quarterly
Tax Deducted at Source -- TDS on Others	Quarterly
Tax Deducted at Source -- TDS on Salary	Quarterly
Issue of Form 16A -- TDS on Others	Quarterly
Issue of Form 16 -- TDS on Salary	Annual
Advance Tax -- Advance tax computation & Payment	Quarterly
Income tax Return Filing -- Tax Return	Annual
Tax Audit -- Audit of Books as per Income tax Act	Annual
GST -- GSTR 1	Monthly
GST -- GSTR 3B	Monthly
GST -- GSTR-9	Annual
Professional Tax -- PT Payment on Salary	Monthly
Professional Tax -- PT monthly Filing	Monthly
Professional Tax -- PT payment of Company	Annual
Professional Tax -- PT Annual Return	Annual
STPI Compliance -- Monthly Filing	Monthly
STPI Compliance -- Annual Filing - Annual Progress Report	Annual
ROC Filings -- AOC 4	Annual
ROC Filings -- MGT 7	Annual
ESI Payment -- Monthly Payment	Monthly
ESI Return Filing -- Half Yearly Filing	Half yearly
PF Payment -- Monthly Payment	Monthly

PF Return Filing -- Monthly Filing	Monthly
Labor Welfare Fund -- Annual Return	Annual
Human Resources	
Workmen Compensation Policy	Annual
Contract Labor Act	Annual
Compliance with Minimum Wages	Annual
Payment of Bonus -Filing	Annual
Maternity Benefit Compliance	Annual
POSH	Annual
Labor Welfare Fund	Annual
Apprenticeship act 1961	Annual
Admin	
Shops and Commercial Establishment	One Time
STPI Registration	One Time
Custom Registration	One Time
GST	One Time

12.2 Statutory Compliance Checklist

a. **Provident Fund (PF)**

For HR Department:

- Has accurate payroll data, including employee contributions, been shared with the Accounts team by the 1st working day of the month? (Yes/No)
- Are all new employees' PF registrations completed within the stipulated timeline? (Yes/No)

For Sr. Executive Accounts:

- Have PF contributions been calculated accurately based on payroll data and statutory rates? (Yes/No)
- Have PF payments been processed online by the 15th of the month? (Yes/No)
- Have payment challans been archived securely? (Yes/No)

For Finance Manager:

- Has the monthly PF compliance review been conducted? (Yes/No)
- Have any anomalies or delays been documented and addressed? (Yes/No)

For Finance Director:

- Have all PF compliance reports been reviewed and approved? (Yes/No)
- Are there any pending issues or non-compliance cases reported in the MIS? (Yes/No)

b. **Employee State Insurance (ESI)**

For HR Department:

- Is employee eligibility for ESI verified and updated monthly? (Yes/No)
- Has payroll data, including ESI deductions, been provided to the Accounts team by the 1st working day? (Yes/No)

For Sr. Executive Accounts:

- Have ESI contributions been calculated accurately as per statutory guidelines? (Yes/No)
- Have ESI payments been processed online by the 15th of the month? (Yes/No)
- Are all ESI-related documents, including challans, archived? (Yes/No)

For Finance Manager:

- Has a review of ESI payments and records been conducted monthly? (Yes/No)
- Have any discrepancies or delays been addressed promptly? (Yes/No)

c. **Tax Deducted at Source (TDS)**

For Sr. Executive Accounts:

- Have TDS sections been correctly defined in the system for all applicable transactions? (Yes/No)
- Has the monthly TDS liability been calculated accurately by the 3rd working day? (Yes/No)
- Have TDS payments been made online by the 7th day of the following month? (Yes/No)
- Are all TDS challans and payment receipts archived securely? (Yes/No)

For Finance Manager:

- Has the reconciliation of TDS deductions and payments been completed? (Yes/No)

- Has the review of TDS compliance activities been conducted monthly? (Yes/No)
- Are non-compliance issues documented and included in the MIS report? (Yes/No)

For Finance Director:

- Have TDS compliance reports been reviewed and approved? (Yes/No)
- Have any significant non-compliance risks been escalated to management? (Yes/No)

d. **Goods and Services Tax (GST)**

For Sr. Executive Accounts:

- Has GST liability been computed accurately based on transaction data by the 3rd working day? (Yes/No)
- Have tax codes been validated against current GST laws? (Yes/No)
- Have GST payments been processed online by the 20th of the month? (Yes/No)
- Are all GST payment receipts and filed returns archived? (Yes/No)

For Finance Manager:

- Has the review of GST computations and payments been conducted monthly? (Yes/No)
- Are GST returns (e.g., GSTR-1, GSTR-3B) filed on or before the due dates? (Yes/No)
- Have compliance reports been prepared and submitted for management review? (Yes/No)

For Finance Director:

- Have GST compliance reports and MIS summaries been reviewed and approved? (Yes/No)
- Have any non-compliance risks been addressed and documented in the MIS report? (Yes/No)
-

e. **Reporting and Consequences of Non-Compliance**

For All Departments:

- Are all compliance deadlines tracked using an approved checklist or monitoring tool? (Yes/No)
- Are any delays or non-compliance instances reported promptly in the MIS? (Yes/No)

- Have appropriate corrective actions been taken to address non-compliance issues? (Yes/No)
- Are penalties or fines due to non-compliance recorded and reviewed for process improvement? (Yes/No)

13 Forms

a. TDS Computation Template

b. GST Computation Template